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Request for Information: Development of an Artificial Intelligence Action Plan

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Comment on FR Doc # 2025-02305

Submitter Information

Email: [REDACTED]
Organization: Gusto

General Comment

See attached file(s)

Attachments

Gusto_NISTCommentonAI.docx



March 14, 2025

Office of Science and Technology Policy Executive Office of the President Eisenhower
Executive Office Building 1650 Pennsylvania Avenue NW Washington, DC 20504

RE: Request for Information on Development of an Artificial Intelligence Action Plan

To Whom It May Concern:

Gusto¹ is a platform that provides payroll, human resource, benefits, and other products designed for small-and-medium sized businesses. We currently serve over 400,000 businesses nationwide across all industries, with our typical customer having fewer than 25 employees. 1 in 6 new businesses in the US choose Gusto to hire their first employee, and we remain committed to providing technology solutions to entrepreneurs.

Our mission is to make entrepreneurship a viable path for every single person in the US, and as part of our product suite we offer AI powered tools that solve pain and extend new capabilities to small businesses so they can focus on whatever they do best.

Gusto welcomes the opportunity to respond to the RFI on the Development of an Artificial Intelligence Action Plan, and how the right approach can unlock business formation and growth.

If you have any questions, please contact me via email at [REDACTED]

Sincerely,

Steve Abbott
Head of Government and Regulatory Affairs
Gusto

¹ www.gusto.com

Small Business are using Generative AI:

Small Businesses are integral to the American economy, accounting for approximately 44% of U.S. economic activity and employing nearly half of all American workers. However, these businesses have historically lacked the resources, technical expertise, and capital that larger corporations can deploy to adopt new technologies. At Gusto, we are committed to bringing tech solutions to small businesses, so they can focus on what they do best, whether it be graphic design or hair styling, and the administration of running a business can be largely automated, requiring less time and cost.

Key findings on the use of Generative AI from Gusto's State of Small Business Survey² conducted last year:

- **Almost half of all Small Business owners started using AI in the last year.** Gusto's forthcoming 2025 survey of new business formation shows that 47% of all businesses started using AI in the last year. Furthermore, in contrast to the 2024 survey, we see no difference in usage of generative AI between Gen X, Millennial, and Gen Z owners.
- **Businesses that used GenAI had an easier time hiring.** Among businesses that tried to hire, those that use GenAI were 45% more likely to report that they could fill open roles than businesses that did not use GenAI. Companies using generative AI experience fewer difficulties in hiring compared to those that do not. Specifically, businesses in the community and personal services sectors see substantial benefits.
- **Employees at businesses that use Generative AI are much more likely to exceed expectations.** GenAI helps reduce workloads, particularly for repetitive tasks, allowing employees to focus on more impactful business-building activities. That may be why businesses that use Generative AI report that their employees are significantly more likely to exceed expectations compared to those that do not use AI.

Following the pandemic the US saw a drastic increase in new business starts reversing a decades long decline. Technology solutions invariably played a part in unlocking entrepreneurship as a viable choice for economic autonomy reducing the time, cost, and complexity of the administrative work that owning a business requires. AI lowers the barrier to entry for people to start a business, which could cause more people to become entrepreneurs with the goal of scaling a company, or more likely an increase in solopreneurs and contract workers who traditionally would have been full-time employees.

If Generative AI proves to be the transformative tool we expect, then this should continue with implications for our broader economy.

² <https://gusto.com/company-news/smb-s-using-ai-2024>

Policy Principles

1. Create a Small Business AI Adoption Framework

The AI Action Plan should include a simplified, accessible framework specifically designed for small businesses to evaluate, adopt, and implement AI solutions. This framework should:

- Provide clear guidance on identifying appropriate AI use cases for different business sizes and sectors
- Include simplified risk assessment tools proportionate to small business operations

2. Establish AI Technology Access Programs

To democratize access to AI technologies:

- Create tax incentives specifically for small business AI adoption
- Develop a "Small Business AI Toolkit" with pre-vetted, secure AI applications
- Support the development of open-source AI tools designed for small business needs

3. Address Skills and Knowledge Gaps

Small businesses face significant challenges in acquiring AI expertise:

- Leverage existing programs through the Small Business Administration to provide education and resources for small business owners
- Support new and existing Small Business Development Centers and the creation AI hubs where small businesses can access expertise and resources

4. Ensure Reasonable Regulations

Any regulatory framework must consider the unique constraints of small businesses:

- Implement tiered compliance requirements based on business size and AI application risk
- Ensure that compliance costs don't create unreasonable barriers to entry